

access the information therein. There is no bouncer checking IDs at the door. Rather, participation in the network forms an economic equilibrium in which entities will buy more hardware to take part in building Bitcoin's blockchain if they feel they can make money doing so. Other examples of public blockchains include Ethereum, Litecoin, Monero, Zcash, and so on, which will be discussed in more detail in Chapters 4 and 5.

Private systems, on the other hand, employ a bouncer at the door. Only entities that have the proper permissions can become part of the network. These private systems came about after Bitcoin did, when enterprises and businesses realized they liked the utility of Bitcoin's blockchain, but weren't comfortable or legally allowed to be as open with the information propagated among public entities.

These private blockchains have thus far been most widely embraced by the financial services as a means to update IT architecture that hasn't had a major facelift since preparation for the Y2K bug. Within financial services, these private blockchains are largely solutions by incumbents in a fight to remain incumbents. While there is merit to many of these solutions, some claim the greatest revolution has been getting large and secretive entities to work together, sharing information and best practices, which will ultimately lower the cost of services to the end consumer.⁵ We believe that over time the implementation of private blockchains will erode the position held by centralized powerhouses because of the tendency toward open networks. In other words, it's a foot in